

Audencia Business School



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Group 09

Company 07 Final Report

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I - Logic of the overall trajectory of the company:

The company demonstrated a journey of strategic evolution in a competitive simulated business environment. Starting with challenges such as a -5% evolution rate and negative profit margins, the company gradually improved its market position, revenue, and profitability. By the final round, it emerged as a strong contender with a 9% evolution rate, 18% market share, and consistent sales growth, showcasing effective strategic planning and adaptability.

Round 1: The company ended with €33,654 in cash but incurred a net loss of €1,543. Sales of Product 3 and Product 4 brought in €30,460 in revenue, though high advertising (€5,500) and launch costs (€2,000) led to negative margins. Despite this, the company maintained financial stability with €36,707 in working capital, though a -5.06% return on equity indicates room for improvement.

Round 2: The company focused on steadying its performance, selling 100 units of Product 3 and generating \$13,000 in sales, though costs led to a loss of \$3,675. With the help of a \$5,513 subsidy and careful cash management, it improved liquidity to \$4,806. The team prioritized clearing inventory and streamlining operations to set the stage for recovery.

Round 3: The company faced financial challenges with a starting negative cash balance of €-6,664. Despite €48,205 in sales, high expenses led to a net loss of €2,659, negative solvency, and a -11.02% return on equity. Cash flow issues left the final cash balance at €-4,899.

Round 4: The company faced financial struggles, starting with a cash deficit of €-19,899. Despite good sales, high production, advertising, and depreciation costs resulted in a €-3,211 net loss. The return on equity was -15.36%, and the final cash balance was €-14,269. The company's working capital of €8,631 didn't offset its solvency concerns.

Round 5: The company started with a negative cash balance of €-497 but managed to secure a €30,000 loan and made an investment of €16,228. The company achieved a 14% market share and ended the round with a small net income of €75. Despite high production costs, advertising expenses, and depreciation, they were able to improve their cash balance to €11,303 by the end of the round.

Round 6: The company started with a very low cash balance of just €95 but managed to secure a €13,000 loan and make an investment of €24,208. They held on to a 17% market share and earned a small profit of €135. By the end of the round, their cash balance improved to €13,629. Sales for Products 1, 2, and 4 were solid, but Product 3 faced a loss. While production and advertising costs impacted their margins, the company managed to stay afloat with a return on equity of 0.64%.

Round 7: The company started with just €19 in cash, but managed to secure €1,671 in loan variations, keeping a strong 18% market share. The company generated €73,980 in revenue, thanks to solid sales in Products 1, 2, and 3, although Product 4 didn't perform well. Despite high production and advertising expenses, they achieved a net income of €2,282. After accounting for depreciation and stock variations, the final cash balance reached €16,610, showing a positive cash flow despite the challenges.

Throughout the simulation, the company faced its share of financial struggles but showed great resilience and the ability to adapt. Despite starting with losses and cash flow challenges, it

gradually turned things around. By the final round, the company had earned an 18% market share and a net income of €2,282, proving its ability to grow even in tough conditions. Careful management of costs and smart investments ultimately led to steady revenue growth, transforming an uncertain beginning into a strong finish.

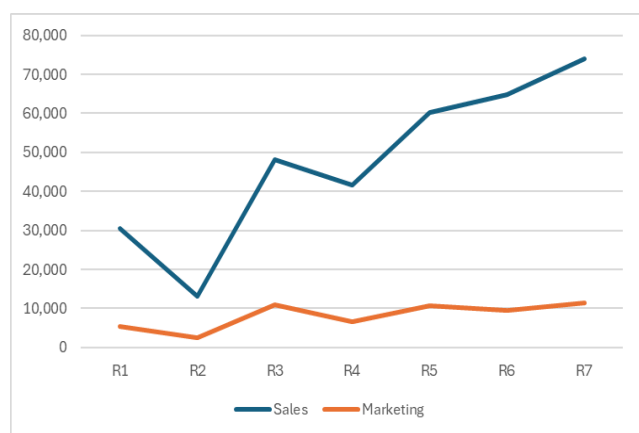
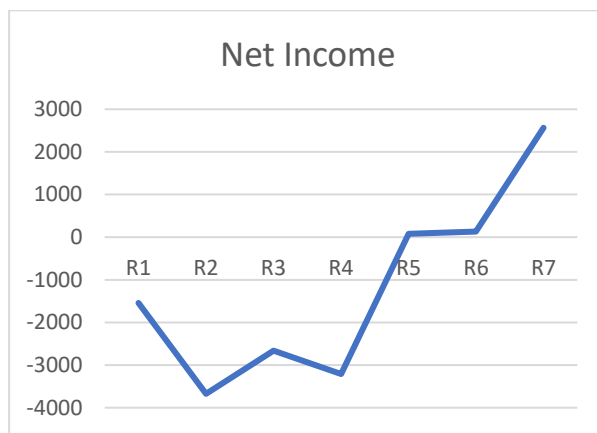
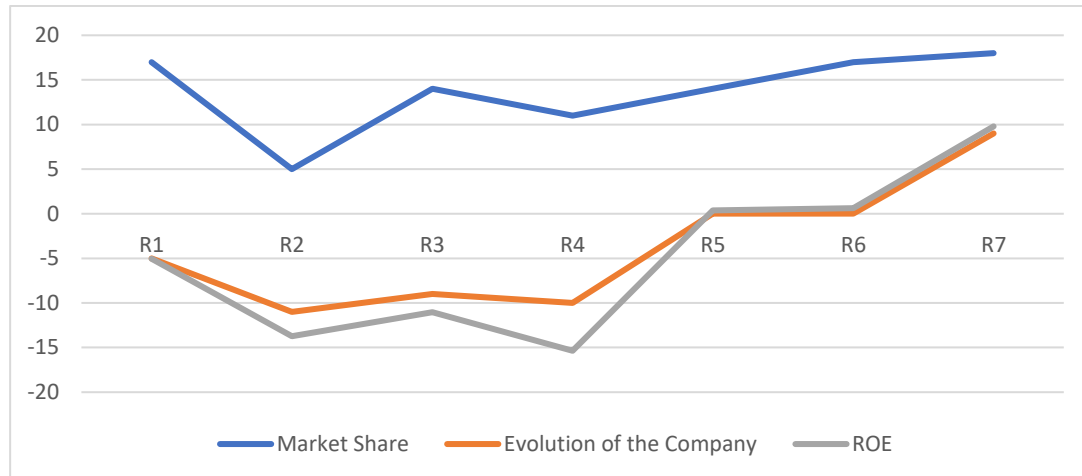
II - Analysis of successes and failures:

Success:

- We started the game with a -5% evolution, but by the final round, we improved significantly, reaching 9% and securing the position of the second-largest market share.
- Profit margins increased from -5% in R1 to 3% in R7 due to effective cost management and strategic pricing.
- Well-controlled operating expenses led to stronger net profit margins.
- A strategic choice was made to prioritize the depletion of existing inventory.
- Significant growth in both sales volume and revenue, highlighting successful sales strategies.
- Market share grew from 17% in R1 to 18% in R7, outperforming competitors and strengthening market position.
- Shareholders were pleased with a remarkable Return on Equity (ROE) of 10.30%, a significant improvement from the initial -5.06%.
- Increased marketing investments directly contributed to revenue growth.
- Reduced customer acquisition costs over time, reflecting better efficiency.

Failures:

- Although Product 4 was aging, a strategic decision was made to retain it in the final round while initiating plans to relaunch an updated version.
- The underestimation of production capacity hindered market penetration, reflecting a miscalculated strategic approach.
- A cautious initial approach led to limited market reach, providing competitors with an opportunity to capitalize and gain profits.
- Need to optimize inventory turnover (currently 4 times per year) and receivables management (currently 60 days).
- We encountered intense competition from a dominant player in the major brand market.
- Strengthen strategic planning efforts to maintain a competitive edge in a dynamic market.
- Investors were initially hesitant due to a negative Return on Equity (ROE).
- Excessive spending on advertising in the early stages led to higher costs and a reduction in profit.
- Each round, a different strategy was applied with the expectation of success, without considering that the conditions of the game were changing, which ultimately hindered gaining advantages.



III - Analysis of the company's strengths and weaknesses at the end of the game:

Strengths:

Strong Financial Recovery:

- **Net Income:** Achieved a positive net income of **€2,282**, indicating a successful recovery from prior losses.
- **Return on Equity (ROE):** Registered a respectable ROE of **10.30%**, showcasing effective utilization of equity.
- **Liquidity:** Closed the round with a **cash balance of €16,610**, providing sufficient flexibility for future investments.
- Captured **18% market share**, making Company 7 one of the leading players in the market.

Efficient Product Portfolio:

- Product 3 was our top performer, generating a **net margin of €6,163** at a production cost (with quality) of **€36.41/unit**.

- **Strategic Advertising:** Focused campaigns (e.g., €3,500 for Product 1) drove substantial sales volumes.

Weaknesses:

- **High Dependence on Loans:** Long-term liabilities reached €44,671, increasing financial risk due to interest burdens.
- **Inefficient Allocation of Advertising:** Overspent on advertising for underperforming products like Product 4, which generated a **negative net margin of €-2,907** despite a sales volume of **150 units**.
- **Aging Product Portfolio:** Product 1 and Product 2 are **4 years old**, and Product 3 is **5 years old**, signaling the need for product innovation or relaunch to sustain market relevance.

IV - SWOT analysis:



V - Personal/theoretical lessons learned from the game:

1. **Adaptability:** Our success relied on adjusting strategies to align with changing game dynamics. Businesses must remain agile and responsive to shifts in markets, the economy, and customer preferences to maintain their competitive edge.
2. **Effective Marketing:** We learned how targeted marketing efforts drove higher customer acquisition and retention rates. Strategic marketing campaigns and performance tracking can boost growth and strengthen brand loyalty.
3. **Financial Management:** Careful cost management and resource optimization ensured profitability. Maintaining financial discipline through budgeting, expense control, and wise investments is crucial for sustained growth.
4. **Innovation and Growth:** We learned that staying ahead required continuous innovation and exploring new opportunities. Investing in R&D and embracing new ideas and technologies fosters long-term success and market leadership.

5. **Team Collaboration:** During the course we learned that strong communication and teamwork were essential for achieving objectives. Encouraging collaboration and open dialogue among team members enhances productivity and sparks innovation.
6. **Resilience:** We realized that overcoming challenges and learning from failures were critical to progress. Cultivating resilience and a positive mindset enables businesses to navigate hardships and emerge stronger.

VI - Decisions if the game continues:

	Product 1	Product 2	Product 3	Product 4
Sales (volume)	148	145	170	150
Final stock	-	-	-	-
Sales in value	19,980	23,200	19,550	11,250
+ Stock variation	- 1,650	- 250	-	-
- Product. cost (incl. qual.)	- 5,682	- 8,317	- 6,190	- 4,712
- Depreciation	- 2,875	- 3,500	- 4,250	- 3,750
- Contribution to fixed costs	- 3,012	- 3,497	- 2,947	- 1,696
- Advertising	- 3,500	- 4,000	-	- 4,000
- Sellers' bonuses	-	-	-	-
- Mailing action	-	-	-	-
- Phoning action	-	-	-	-
- E-mailing/web action	-	-	-	-
Net Margin	3,261	3,635	6,163	2,907
Net unit Margin	22	25	36	19

- Product 3: Increase production to 190 units, as it had the highest net margin (€6,163) and strong demand. Reduce the production to 140 for Product 4 and increase the price from **€75 to €85/unit** to improve margins without severely impacting demand.
- Product 1 and 2: Maintain production at **115 and 140 units**, respectively, as they consistently generate positive margins.
- Reduce overall advertising costs since our market share is the second largest one in the game now and the sensitivity of the demand for advertising is not high enough.
- Prioritize **debt repayment**, reducing the €44,671 long-term liability by at least **€5,000**, to improve solvency and financial stability.

VII – Financial forecast:

If given the opportunity to start over, we would adopt a more proactive and assertive approach, focusing on strategically positioning our products in key markets. Understanding the importance of early market entry, we would prioritize accelerating product launches to gain a competitive advantage. Looking ahead, the company's financial future appears bright. With an 18% market share and a net income of €2,282 in the final round, we're on track for sustained growth. Strong sales in Products 1, 2, and 3 will continue to boost revenue, while managing production and advertising costs effectively will help maintain profitability. The current cash balance of €16,610 is a solid foundation, and we anticipate it will keep improving, leading to a more stable and healthy financial position.